



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB2754: commerce authority; board of directors

RIVERO FLOOR AMENDMENT

1. Adds, as ex officio members without the power to vote, to the Arizona Commerce Authority Board of Directors:
 - a. the ranking minority party member of the Senate Finance Committee, or its successor committee, or the ranking member's designee; and
 - b. the ranking minority party member of the House of Representatives International Trade Committee, or its successor committee, or the ranking member's designee.
2. Removes the repeal of the Arizona Competes Program's termination of July 1, 2026.
3. Extends the Arizona Competes Program from July 1, 2026, to July 1, 2030.
4. Makes conforming changes.

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2/23/2026

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RIVERO FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2754
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 41-1502, Arizona Revised Statutes, is amended to
3 read:

4 41-1502. Arizona commerce authority; board of directors;
5 conduct of office; audit

6 A. The Arizona commerce authority is established. The mission of
7 the authority is to provide private sector leadership in growing and
8 diversifying the economy of this state, creating high quality employment
9 in this state through expansion, attraction and retention of businesses
10 and marketing this state for the purpose of expansion, attraction and
11 retention of businesses.

12 B. The authority is governed by a board of directors consisting of:

13 1. The governor, who serves as chairperson.

14 2. The chief executive officer.

15 3. Seventeen private sector business leaders who are chief
16 executive officers of private, for-profit enterprises. None of these
17 members may be an elected official of any government entity. These
18 members must be appointed from geographically diverse areas of this state
19 and not all from the same county. These members shall serve staggered
20 three-year terms of office beginning and ending on the third Monday in
21 January. These members shall be appointed as follows:

22 (a) Nine members who are appointed by the governor.

23 (b) Four members who are appointed by the president of the senate.

24 (c) Four members who are appointed by the speaker of the house of
25 representatives.

26 4. The following as ex officio members without the power to vote:

27 (a) The president of the senate.

28 (b) The speaker of the house of representatives.

1 (c) The president of the Arizona board of regents.

2 (d) THE CHAIRPERSON OF THE SENATE FINANCE COMMITTEE, OR ITS
3 SUCCESSOR COMMITTEE, OR THE CHAIRPERSON'S DESIGNEE.

4 (e) THE CHAIRPERSON OF THE HOUSE OF REPRESENTATIVES INTERNATIONAL
5 TRADE COMMITTEE, OR ITS SUCCESSOR COMMITTEE, OR THE CHAIRPERSON'S
6 DESIGNEE.

7 [(f) THE RANKING MINORITY PARTY MEMBER ON THE SENATE FINANCE
8 COMMITTEE, OR ITS SUCCESSOR COMMITTEE, OR THE RANKING MEMBER'S DESIGNEE.]

9 [(g) THE RANKING MINORITY PARTY MEMBER ON THE HOUSE OF
10 REPRESENTATIVES INTERNATIONAL TRADE COMMITTEE, OR ITS SUCCESSOR COMMITTEE,
11 OR THE RANKING MEMBER'S DESIGNEE.]

12 ~~(h)~~ ~~[(h)]~~ [(h)] The president of each state university under the
13 jurisdiction of the Arizona board of regents.

14 ~~(i)~~ ~~[(i)]~~ [(i)] One president of a community college who is
15 appointed by a statewide organization of community college presidents.

16 ~~(j)~~ ~~[(j)]~~ [(j)] The chairperson of the governor's council on small
17 business, or its successor.

18 ~~(k)~~ ~~[(k)]~~ [(k)] The chairperson of the workforce Arizona council
19 established by executive order pursuant to section 41-5401.

20 ~~(l)~~ ~~[(l)]~~ [(l)] One member of the rural business development
21 advisory council established by section 41-1505 who is appointed by the
22 governor.

23 ~~(m)~~ ~~[(m)]~~ [(m)] The president of a statewide organization of
24 incorporated cities and towns who is appointed by the governor.

25 ~~(n)~~ ~~[(n)]~~ [(n)] The president of a statewide organization of
26 county boards of supervisors who is appointed by the governor.

27 C. For members who are appointed by the governor pursuant to
28 subsection B of this section, before appointment by the governor, a
29 prospective member of the board of directors shall submit a full set of
30 fingerprints to the governor for the purpose of obtaining a state and
31 federal criminal records check pursuant to section 41-1750 and Public Law
32 92-544. The department of public safety may exchange this fingerprint
33 data with the federal bureau of investigation.

34 D. The following shall serve as technical advisors to the board to
35 enhance collaboration among state agencies to meet infrastructure needs
36 and facilitate growth opportunities throughout this state:

37 1. The director of environmental quality.

38 2. The state land commissioner.

39 3. The director of the department of revenue.

40 4. The director of the office of tourism.

41 5. The director of the department of transportation.

42 6. The director of water resources.

43 7. The director of the department of insurance and financial
44 institutions.

45 8. The director of the Arizona-Mexico commission in the governor's
46 office.

47 9. The director of the office of economic opportunity.

1 10. An attorney who is appointed jointly by the president of the
2 senate and the speaker of the house of representatives and who has
3 experience litigating constitutional cases involving article IX, section 7
4 of the Arizona Constitution.

5 E. The governor shall appoint a cochairperson of the board of
6 directors from among the voting members. The board may establish an
7 executive committee consisting of the chairperson, the cochairperson, the
8 chief executive officer and additional voting members of the board elected
9 by the board. The chairperson may appoint subcommittees as necessary.

10 F. The board may request assistance from representatives of other
11 state agencies to maximize economic development opportunities by
12 leveraging their access to strategic assets and planning processes.

13 G. Board members serve without compensation but are eligible for
14 reimbursement of expenses pursuant to section 41-1504, subsection E,
15 paragraph 1.

16 H. A majority of the voting members, which must include the
17 chairperson and the chief executive officer, constitute a quorum for the
18 purpose of an official meeting for conducting business. An affirmative
19 vote of a majority of the members present at an official meeting is
20 sufficient for any action to be taken.

21 I. The board shall keep and maintain a complete and accurate record
22 of all of its proceedings. Public access to the board's records is
23 subject to section 41-1504, subsection M. The public portion of board
24 meetings shall be recorded. These recordings shall be posted on the
25 authority's website within three business days after the meeting and shall
26 remain on the website pursuant to section 38-431.01, subsection K.

27 J. The board ~~of directors~~, executive committee, subcommittees and
28 advisory councils are subject to title 38, chapter 3, article 3.1,
29 relating to public meetings, except as follows:

30 1. In addition to section 38-431.03, the board, executive committee
31 and subcommittees may meet in executive session for discussion about
32 potential business development opportunities and strategies that, if made
33 public, could potentially harm the applicant's, the potential applicant's
34 or this state's competitive position.

35 2. Social and travel events related to the expansion, attraction
36 and retention of businesses are not public meetings if no legal action
37 involving a final vote or decision is taken.

38 3. Activities and events held in public for the purpose of
39 announcing the expansion, attraction and retention of projects are not
40 public meetings.

41 K. The board and the officers and employees of the authority are
42 subject to title 38, chapter 3, article 8, relating to conflicts of
43 interest.

44 L. The board of directors shall adopt written policies, procedures
45 and guidelines for standards of conduct, including a gift policy, for
46 members of the board and for officers and employees of the authority.

1 M. The compensation of all officers and employees is considered a
2 public record pursuant to title 39, chapter 1.

3 N. The authority shall operate on the state fiscal year. The board
4 shall cause an annual audit to be conducted on or before October 31 of
5 each of the authority's public funds established by this chapter by an
6 independent certified public accountant. The board shall immediately file
7 a certified copy of the audit with the auditor general. The auditor
8 general may make such further audits and examinations as necessary and may
9 take appropriate action relating to the audit or examination pursuant to
10 chapter 7, article 10.1 of this title. If the auditor general takes no
11 further action within thirty days after the audit is filed, the audit is
12 considered to be sufficient.

13 O. All state agencies shall cooperate with the authority and make
14 available data pertaining to the functions of the authority as requested
15 by the authority.

16 P. The authority may not have more than one hundred full-time
17 employees, excluding any full-time employees that are funded with monies
18 other than state monies.

19 Sec. 2. Section 41-1504, Arizona Revised Statutes, is amended to
20 read:

21 41-1504. Powers and duties; e-verify requirement

22 A. The board ~~of directors~~, on behalf of the authority, may:

23 1. Adopt and use a corporate seal.

24 2. Sue and be sued.

25 3. Enter into contracts as necessary to carry out the purposes and
26 requirements of this chapter, including intergovernmental agreements
27 pursuant to title 11, chapter 7, article 3 and interagency service
28 agreements as provided by section 35-148.

29 4. Lease real property and improvements to real property for the
30 purposes of the authority. Leases by the authority are exempt from
31 chapter 4, article 7 of this title, relating to management of state
32 properties.

33 5. Employ or retain legal counsel and other consultants as
34 necessary to carry out the purposes of the authority.

35 6. Develop and use written policies, procedures and guidelines for
36 the terms and conditions of employing officers and employees of the
37 authority and may include background checks of appropriate personnel.

38 B. The board ~~of directors~~, on behalf of the authority, shall:

39 1. Develop comprehensive long-range strategic economic plans for
40 this state and submit the plans to the governor.

41 2. Annually update a strategic economic plan for submission to the
42 governor.

43 3. Accept gifts, grants and loans and enter into contracts and
44 other transactions with any federal or state agency, municipality, private
45 organization or other source.

46 C. The authority shall:

1 1. Assess and collect fees for processing applications and
2 administering incentives. The board shall adopt the manner of computing
3 the amount of each fee to be assessed. Within thirty days after proposing
4 fees for adoption, the chief executive officer shall submit a schedule of
5 the fees for review by the joint legislative budget committee. It is the
6 intent of the legislature that a fee shall not exceed one percent of the
7 amount of the incentive.

8 2. Determine and collect registry fees for the administration of
9 the allocation of federal tax exempt industrial development bonds and
10 student loan bonds authorized by the authority. Such monies collected by
11 the authority shall be deposited, pursuant to sections 35-146 and 35-147,
12 in an application fees fund. Monies in the fund shall be used, subject to
13 annual appropriation by the legislature, by the authority to administer
14 the allocations provided in this paragraph and are exempt from the
15 provisions of section 35-190 relating to the lapsing of appropriations.

16 3. Determine and collect security deposits for the allocation, for
17 the extension of allocations and for the difference between allocations
18 and principal amounts of federal tax exempt industrial development bonds
19 and student loan bonds authorized by the authority. Security deposits
20 forfeited to the authority shall be deposited in the state general fund.

21 4. ~~At the direction of the board~~ SUBJECT TO LEGISLATIVE
22 APPROPRIATION FOR THAT SPECIFIC PURPOSE, establish and supervise the
23 operations of full-time or part-time offices in other states and foreign
24 countries for the purpose of expanding direct investment and export trade
25 opportunities for businesses and industries in this state if, based on
26 objective research, the authority determines that the effort would be
27 beneficial to the economy of this state. ON OR BEFORE DECEMBER 1 OF EACH
28 YEAR, THE AUTHORITY SHALL SUBMIT A REPORT TO THE JOINT LEGISLATIVE BUDGET
29 COMMITTEE ON THE ACTIVITIES OF EACH TRADE OFFICE OPERATED BY THE AUTHORITY
30 DURING THE PRIOR FISCAL YEAR.

31 5. Establish a program by which entrepreneurs become aware of
32 permits, licenses or other authorizations needed to establish, expand or
33 operate in this state.

34 6. Post on its website on an annual basis a report that contains at
35 least the following information, and submit a copy to the governor, the
36 president of the senate and the speaker of the house of representatives:

37 (a) The cumulative progress made toward its goals for direct job
38 creation, capital investment and higher average wages and the estimated
39 number of indirect jobs and induced jobs created as a result of the work
40 and the programs of the authority.

41 (b) To the extent not prohibited by law, information on each
42 incentive application approved by the authority in the fiscal year,
43 including the amount of the incentive approved or awarded and the
44 applicant's activity that is projected or has been achieved, whichever is
45 applicable, to qualify for the incentive.

46 (c) Rural economic development outreach and impact data.

47 (d) Small business outreach and impact data.

1 7. Develop and implement written policies and procedures relating
2 to the administration of grants from the Arizona competes fund established
3 by section 41-1545.01, including the following elements:

4 (a) Procedures for documenting grantee selection and due diligence.

5 (b) Procedures for verification of information submitted by
6 grantees.

7 (c) Procedures for evaluating requests to amend grant terms and for
8 documenting decisions relating to those requests.

9 8. Notwithstanding any other law, on request of the office of
10 economic opportunity, disclose to the office of economic opportunity
11 applicant information for incentives administered, in whole or in part, by
12 the authority. Any confidentiality requirements provided by law
13 applicable to the information disclosed pursuant to this paragraph apply
14 to the office of economic opportunity.

15 9. On or before December 31 of each year, compile the data
16 collected pursuant to subsection F of this section and submit a report to
17 the governor, the president of the senate, the speaker of the house of
18 representatives and the secretary of state.

19 D. The authority, through the chief executive officer, may:

20 1. Contract and incur obligations reasonably necessary or desirable
21 within the general scope of the authority's activities and operations to
22 enable the authority to adequately perform its duties.

23 2. Use monies, facilities or services to provide matching
24 contributions under federal or other programs that further the objectives
25 and programs of the authority.

26 3. Accept gifts, grants, matching monies or direct payments from
27 public or private agencies or private persons and enterprises for the
28 conduct of programs that are consistent with the general purposes and
29 objectives of this chapter.

30 4. Assess business fees for promotional services provided to
31 businesses that export products and services from this state. The fees
32 shall not exceed the actual costs of the services provided.

33 5. Establish and maintain one or more accounts in banks or other
34 depositories, for public or private monies of the authority, from which
35 operational activities, including payroll, vendor and grant payments, may
36 be conducted. Individual funds that are established by law under the
37 jurisdiction of the authority may be maintained in separate accounts in
38 banks or other depositories, but shall not be commingled with any other
39 monies or funds of the authority.

40 E. The chief executive officer shall:

41 1. Hire employees and prescribe the terms and conditions of their
42 employment as necessary to carry out the purposes of the authority. The
43 board of directors shall adopt written policies, procedures and
44 guidelines, similar to those adopted by the department of administration,
45 regarding officer and employee compensation, observed holidays, leave and
46 reimbursement of travel expenses and health and accident insurance. The

1 officers and employees of the authority are exempt from any laws
2 regulating state employment, including:

3 (a) Chapter 4, articles 5 and 6 of this title, relating to state
4 service.

5 (b) Title 38, chapter 4, article 1 and chapter 5, article 2,
6 relating to state personnel compensation, leave and retirement.

7 (c) Title 38, chapter 4, article 2, relating to reimbursement of
8 state employee expenses.

9 (d) Title 38, chapter 4, article 4, relating to health and accident
10 insurance.

11 2. Maintain three full-time employees to serve as advocates for
12 small and rural businesses on economic development and regulatory matters
13 before cities, towns, counties or state agencies. Two of the full-time
14 employees shall be dedicated to small business growth, support and
15 regulation, one of whom shall serve as a small business ombudsman. One of
16 the full-time employees shall be dedicated to rural economic development.

17 3. On a quarterly basis, provide public record data in a manner
18 prescribed by the department of administration related to the authority's
19 revenues and expenditures for inclusion in the comprehensive database of
20 receipts and expenditures of state monies pursuant to section 41-725.

21 F. On or before September 30 of each year, each city, town and
22 county in this state shall submit to the authority the city's, town's or
23 county's statistics for the preceding fiscal year that include all of the
24 following:

25 1. The average time from the submission of an initial building
26 permit application to a certificate of occupancy.

27 2. The average time from the submission of a zoning application to
28 zoning approval.

29 3. The average time from the submission of a final plat to the
30 recordation of the final plat.

31 4. Any other statistics as determined by the authority or the
32 municipality time frames advisory committee established by section 41-1527
33 relating to municipal and county support for economic development
34 projects.

35 G. In addition to any other requirement, in order to qualify for
36 any grant, loan, reimbursement, tax incentive or other economic
37 development incentive pursuant to this chapter, an applicant that is an
38 employer must register with and participate in the e-verify program in
39 compliance with section 23-214. The authority shall require verification
40 of compliance with this subsection as part of any application process.

41 H. Notwithstanding any other law, the authority is subject to
42 chapter 3.1, article 1 of this title, relating to risk management.

43 I. The authority is exempt from title 18, chapter 1, articles 1 and
44 2, relating to statewide information technology. The authority shall
45 adopt policies, procedures and guidelines regarding information
46 technology.

1 J. The authority is exempt from state general accounting and
2 finance practices and rules adopted pursuant to chapter 4, article 3 of
3 this title, but the board shall adopt written accounting practices,
4 systems and procedures for the economic and efficient operation of the
5 authority. The authority shall adopt policies pursuant to this subsection
6 that prohibit using state monies as defined in section 35-321 to provide
7 business executives lodging, alcoholic beverages, personal transportation
8 or tickets to entertainment events for the purposes of attracting
9 businesses to this state.

10 K. The authority is exempt from section 41-712, relating to the
11 installation and maintenance of telecommunication systems.

12 L. The authority may lease or purchase motor vehicles for use by
13 employees to conduct business activities. The authority is exempt from
14 section 28-472, relating to the state motor vehicle fleet, and title 38,
15 chapter 3, article 10, relating to vehicle usage and markings.

16 M. Any tangible or intangible record submitted to or compiled by
17 the board or the authority in connection with its work, including the
18 award of monies, is subject to title 39, chapter 1, unless an applicant
19 shows, or the board or authority determines, that specific information
20 meets either of the following:

21 1. If made public, the information would divulge the applicant's or
22 potential applicant's trade secrets, as defined in section 44-401.

23 2. If made public, the information could potentially harm the
24 applicant's, the potential applicant's or this state's competitive
25 position relating to potential business development opportunities and
26 strategies.

27 N. The authority is exempt from chapter 25, article 1 of this
28 title, relating to government competition with private enterprise.

29 Sec. 3. Section 41-1545.01, Arizona Revised Statutes, is amended to
30 read:

31 41-1545.01. Arizona competes fund

32 A. The Arizona competes fund is established consisting of:

33 1. Withholding tax revenues allocated to the fund from the job
34 creation withholdings clearing account pursuant to section 43-409,
35 subsection B, paragraph 2.

36 2. Any other amounts dedicated to the fund by law.

37 3. Gifts, grants and other donations received for that purpose.

38 4. Any available monies received from the United States government,
39 including monies from the American recovery and reinvestment act of 2009
40 (P.L. 111-5).

41 B. Monies credited to the fund may be deposited in the state
42 treasury or in a bank or other depository pursuant to section 41-1504,
43 subsection D, paragraph 5.

44 C. The chief executive officer shall administer the fund. On
45 notice from the chief executive officer, the state treasurer shall invest
46 and divest any monies in the fund deposited in the state treasury as
47 provided by section 35-313, and monies earned from investment shall be

1 credited to the fund. Monies in the fund are exempt from the provisions
2 of section 35-190 relating to lapsing of appropriations.

3 D. SUBJECT TO LEGISLATIVE APPROPRIATION, the chief executive
4 officer shall use monies in the fund exclusively for the purposes of this
5 article.

6 <<Sec. 4. ~~Repeat~~

7 ~~Section 41-1545.05, Arizona Revised Statutes, is repealed.>>~~

8 <<Sec. 4. Section 41-1545.05, Arizona Revised Statutes, is amended
9 to read:

10 41-1545.05. Program termination

11 The program established by this article ends on July 1,
12 ~~[2026]~~[2030].>>

13 Sec. 4. Retroactivity

14 Section 41-1545.05, Arizona Revised Statutes, as ~~[repealed]~~
15 ~~[amended]~~ by this act, applies retroactively to from and after June 30,
16 2026.

17 Enroll and engross to conform

18 Amend title to conform

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